

Visa Government Payment Portal

Team STIMULATE

07-13-2020

AGENDA

VISA

1 **Introduction**

2 **G2C State**

3 **Target Market**

4 **Visa Benefits**

5 **Product Analysis**

6 **Conclusion**

PROBLEM DEFINITION





COVID-19 in the US
- **3,000,000+ Cases**
- **130,000+ Deaths**

US Economy
- **11.1% Unemployment**
- **55,000,000+ Underbanked Adults**

IRS
- **Stimulus Checks**
- **Delayed Tax Schedule**

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The US Federal Government has produced an inefficient response, burdening citizens with slow financial disbursements.

Key Takeaway

With COVID-19 catalyzing a wave of stimulus funding and tax returns being filed on an elongated schedule, we believe there is room for a product that connects users to the government using Visa Payment Technology.

VISA GOVERNMENT PAYMENT PORTAL

Government-2-Customer/Citizen: "G2C describes the relationship between the government and its citizens — much in the way that B2C is concerned with communication between a business and its customers, only in this public setting, the customers are citizens."

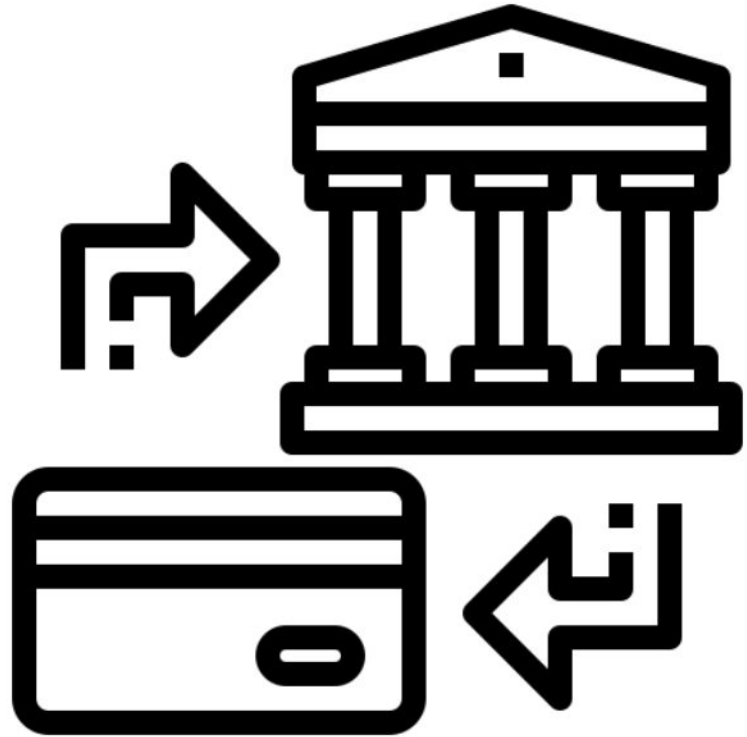


Key Takeaway

Our solution is to create a comprehensive mobile & web application that facilitates the government payment process. We see a huge opportunity in the evolving Government-2-Consumer Payment Space.

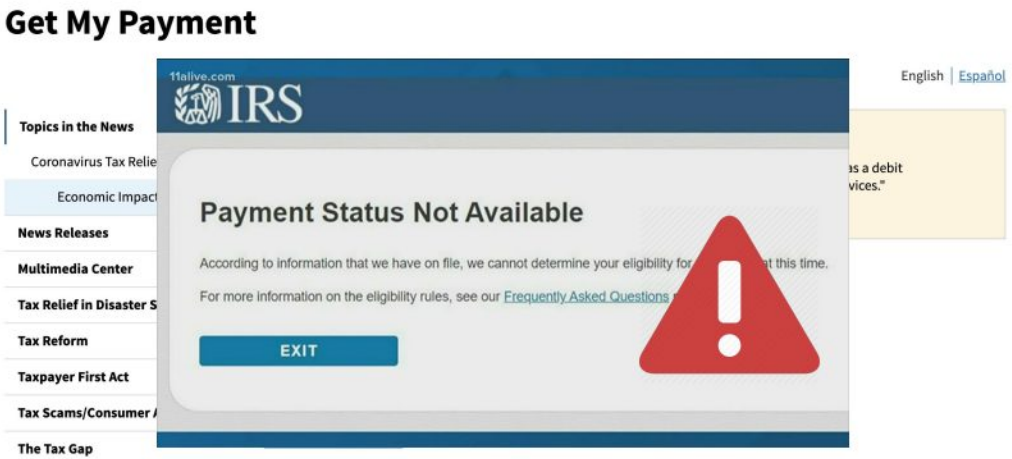
G2C Current State

The IRS, tax prep, and stimulus checks



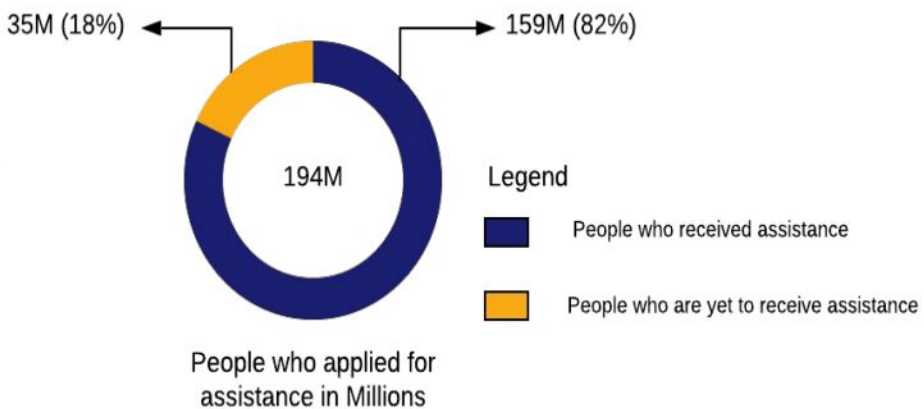
IRS GET MY PAYMENT

- Rudimentary, inefficient, and unsecure technology that cannot handle a large number of requests.
- No proper way to authenticate user information.
- Turbotax contracted out to help the IRS implement GetMyPayment.
- IRS doesn't have the money and manpower to deliver a G2C Channel.



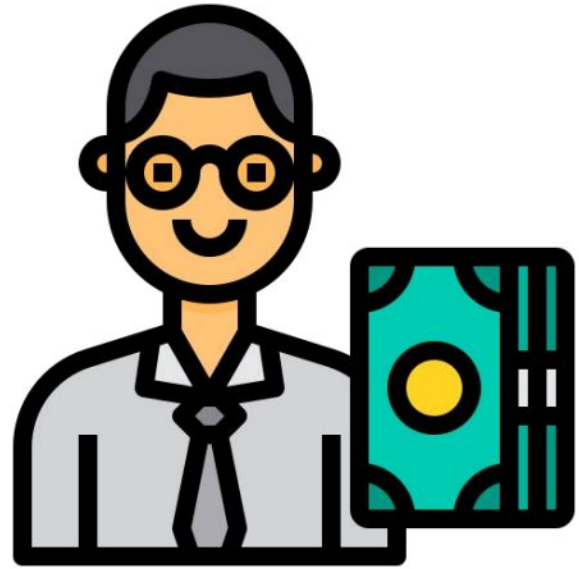
STIMULUS CHECKS

- 35 million Americans still waiting for their stimulus checks from CARES Act.
- Problems with IRS Stimulus checks:
  - Rudimentary ways to disburse checks that are susceptible to fraud or loss.
  - No proper way to authenticate user information.
  - 1M deceased individuals received checks; a $1.4 B loss.
- EIP Cards: More of a bandaid than a cure.



Target Market

Audience, partnership structure, and potential

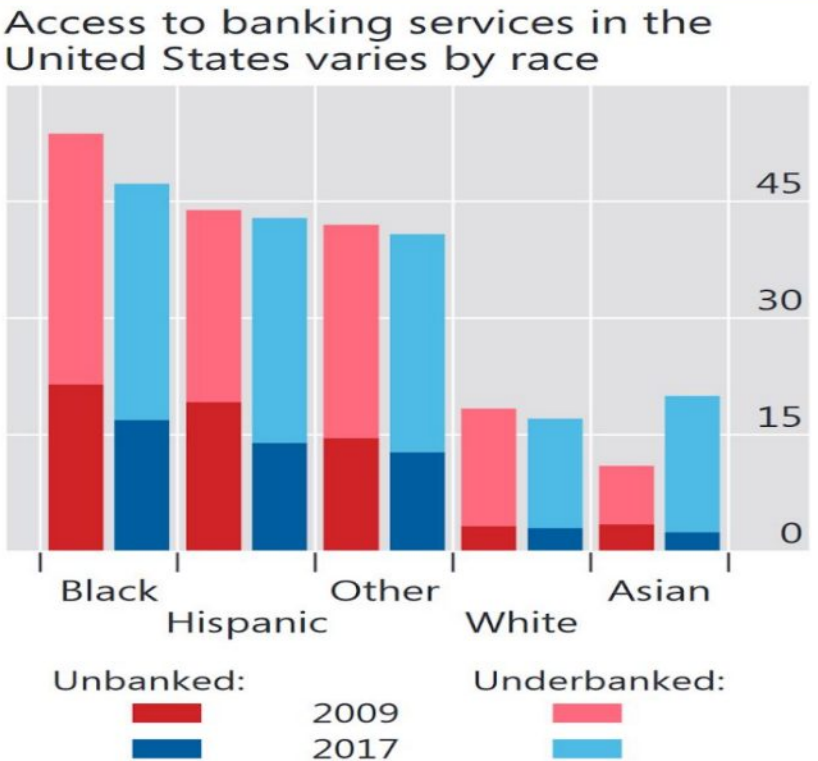


AMERICAN CITIZENS



Around 35 Million Americans are still waiting on their stimulus checks, to make matters worse, rising cases of fraud have been reported.

It was reported that around 55 million american citizens are unbanked.



IRS



The IRS has the two oldest computer systems in the US federal government.

Around 4.7 million paper returns hadn't been processed as of May 16, and more will arrive ahead of the new July 15 deadline.



VGPP can integrate with IRS and private tax partners streamlining the digital payment process.

Visa will help the IRS achieve a modernisation process whilst helping consumers file and receive tax returns and stimulus checks quicker.

Visa Benefits

Monetization, branding, and corporate social responsibility (CSR)



MONETIZATION



Percentage Cut / Transaction	0.05%	0.15%	0.25%	0.35%
Annual Projected Revenue	$1.1B	$3.3B	$5.6B	$7.8B

- United States G2C Stream: ~$2.2T
- Total G2C Stream: $10T
- Stimulus Package: $560B to individuals
- Typical Visa Transaction Rate: 0.35%
- IRS only uses Direct Deposit and Wire Transfers. There are no private competitors.

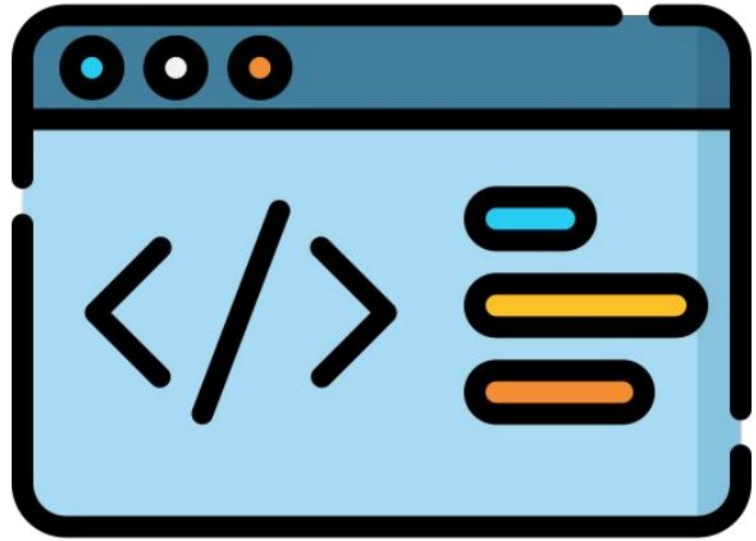
BRANDING

- Further reinforces Visa as a global brand
- Inline with Visa's Value of Innovation
- Continue to promote Corporate Social Responsibility
- Helps people from every socioeconomic class



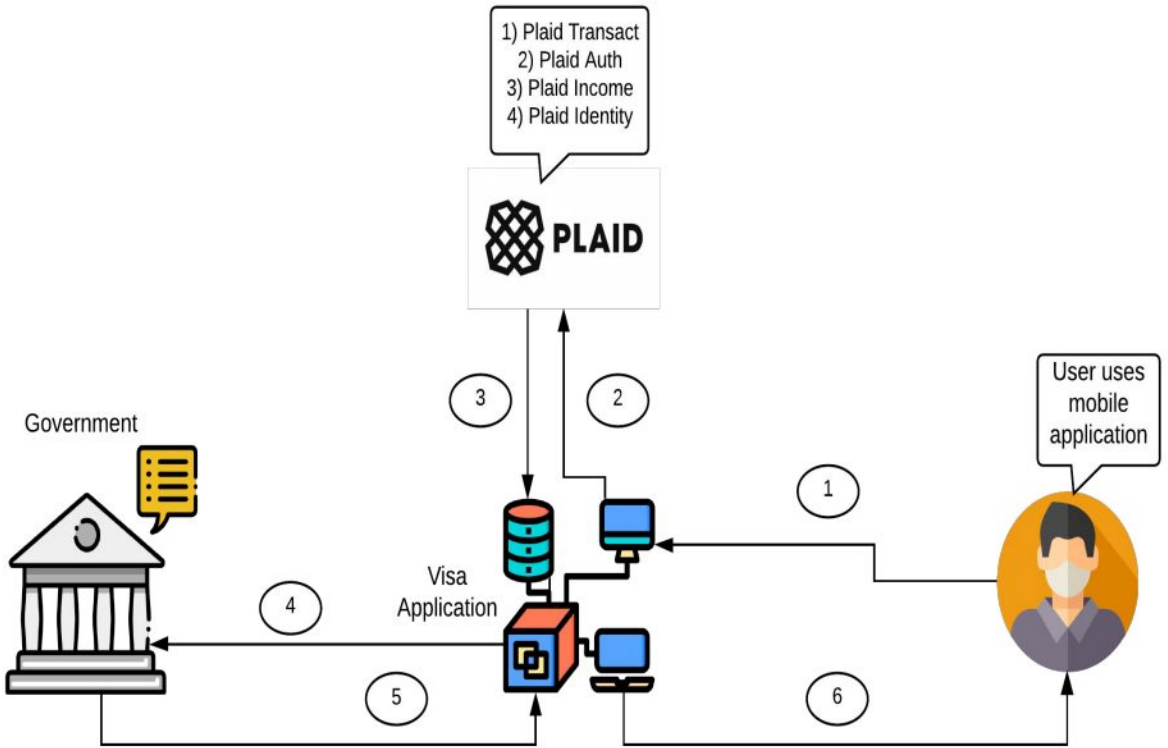
Product Analysis

Solution model and implementation review

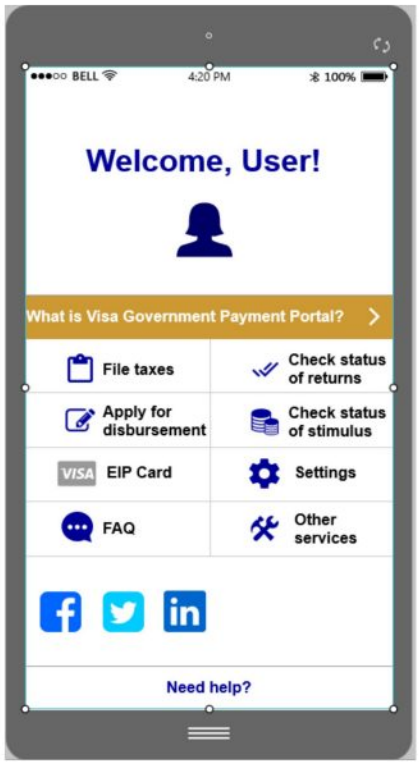


WORKFLOW MODEL

1. File tax returns/apply for disbursement.
2. Store bank details of consumer.
3. Authorizes consumer information using Plaid APIs.
4. Sends application as well as bank information to government.
5. Sends status of tax returns and disbursement.
6. Receives funds from government.



TECHNOLOGY SPECIFICATIONS



VISA

- ACH
- Visa Direct
- Visa Token Service
- Visa Virtual Prepaid Card

PLAID

- Transact
- Auth
- Income
- Identity

PRODUCT COMPARISON

Features	IRS Get My Payment	Visa Government Payment Portal
Online Access	✓	✓
Expanded Payment Network	✗	✓
EIP Card/E-Wallet Compatibility	✗	✓
Check-less System	✗	✓

Key Takeaway

The United States Government is clearly lacking in terms of technological proficiency, resulting in a heavy reliance on checks. VGPP connects the IRS with millions of citizens, broadening the G2C payment channel.

PROPOSED TIMELINE

Phase 1: Designing the basic prototype for the model



Phase 3: Incorporating government regulations and privacy



Phase 0: Commission DDP Team to develop portal



Phase 2: Integrating VISA APIs and Plaid APIs

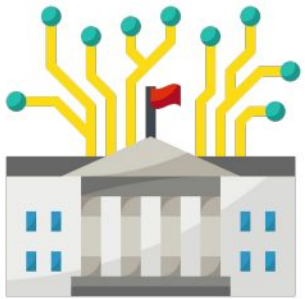
Phase 4: Integrating our product with IRS

Conclusion

What can VGPP lead us to?



BIGGER PICTURE



VISA

PLAID



Extrapolating the core principles of *Visa Direct* and *Plaid* technology into a G2C Product will lead to a highly functioning financial technocracy and the improved livelihood of United States Citizens.

A successful use case of VGPP in the United States could lead to:



Worldwide adoption. Digitization of G2C payments.



Transition towards mobile banking. Elimination of paper checks.